Czechia
Office for the Protection of Competition

I. Datacros III

Datacros III is a research initiative co-funded by the European Union under the Internal Security Fund. It aims to enhance cross-border financial investigations into organized crime networks by developing an ethical AI-driven toolbox. The project builds upon previous phases (Datacros I and II) and introduces advanced analytics functions, including machine learning detection models, NLP-based analysis, and image processing. The toolbox integrates various data sources, such as business registers, company data, real estate records, public procurement information, virtual currencies, and satellite imagery. Led by Transcrime—Università Cattolica del Sacro Cuore, the consortium consists of 23 organizations, ensuring a broad impact beyond the European Union.

The Czech Republic is participating as a partner in the DataCros III project and is actively contributing to the development of its AI-driven tool.

II. Strategy for the Digitization of Public Procurement—Cooperation with the Ministry of Regional Development

In order to improve the availability and use of data (that could be used for example for bid-rigging detection), the Office for the Protection of Competition is proactively seeking opportunities. We are currently working with the Ministry of Regional Development on the project 'Strategy for Electronic Public Procurement' for the period 2022-2030 aimed at creating a comprehensive database of public procurement data. Given the existence of multiple providers, some of which are private companies, it was necessary to adopt new legislation and establish standards for structured data. The database is expected to become operational in the summer of 2025, with new data gradually being added over time.

III. The Project 'Strengthening Detection and Reporting of Bid-Rigging in Czechia, France, Ireland, Latvia, Poland, and Portugal'

This Project aims to improve knowledge about and enforcement of national and EU competition law in 6 EU Member States (Czechia, France, Ireland, Latvia, Poland and Portugal) in public procurement.

Public procurement represents 14.8% of OECD-EU States' GDP and plays a crucial role across all sectors of the economy (including crucial sectors such as infrastructure, utilities, transport and energy). Given the high level of public spending, award procedures are particularly vulnerable to collusion by bidders (i.e., 'bid-rigging'), which distorts competition on the market, ultimately leading to higher costs and reduced quality.

In response, National Competition Authorities ('NCAs') across the EU have put in place measures to detect and penalize bid-rigging schemes. The European Commission has also published a notice in 2021 (2021/C 91/01) on tools to combat collusion in public procurement. However, enforcement remains challenging. More precisely, the six beneficiary NCAs have identified insufficient awareness of competition dos and don'ts in public procurement. While procurers are experts in procurement law and policy, they often have limited knowledge of the application of competition law in public tenders. Likewise, other public sector bodies reviewing tenders (such as auditors, prosecutors, economic and financial police officers) are experts in their field but lack sufficient knowledge of competition law requirements. The project is funded by the Technical Support Instrument (TSI).

IV. The Project 'Supporting Digital Transformation in Competition Law Enforcement'

The digital transformation is widely affecting the enforcement of competition law in the increasingly digitalized and interconnected global economy. It is essential to embrace technological advances, such as AI, and to boost in a concrete and operational way technology tools, methodologies, and technology expertise of the NCAs. There is a need to strengthen their capacity to detect, prosecute, and sanction anticompetitive conduct as well as to better understand how companies use technology to infringe competition rules. By embracing digital technologies and innovation, NCAs can adapt to new challenges, improve decision-making processes, and ultimately promote fair competition and consumer welfare in the digital age.

The benefit of expertise in AI and data science tools could significantly improve the speed and efficiency of the NCAs operations. With the increasing volume of data in today's digital age, manual processes could become burdensome and could lead to delays in investigations and decisions. Moreover, with the use of AI and data science tools, NCAs could significantly improve the detection of patterns of potentially anti-competitive behaviors that might not be visible through traditional manual methods. The project is funded by the TSI.

V. The New Chief Economist Unit

The Office appointed a new Chief Economist in February 2025, whose role consists mainly in developing the Office’s strategy, identifying problem sectors where competition may be distorted or where competition may be dysfunctional. He should also assist with economic analysis in the initiation of administrative proceedings, be involved in the resolution of complex competition cases, define relevant markets, and analyze the effects of certain conduct. One of his main areas of focus will be digital markets.

He should oversee and coordinate the correct methodology of economic analysis across the executive departments. It should also be his role to actively participate in conferences, seminars and other professional events and to comment on the Office's website on current events and the situation on the markets in the Czech Republic, mainly concerning the state of competition, but also e.g. current developments in economic knowledge and theory in the field of competition economics, interesting cases from abroad, etc.

VI. Cooperation with the Office for Personal Data Protection

In 2025 we signed a memorandum with the Office for Personal Data Protection (OPDP), as an understanding of the principles of competition protection can be valuable to the regulator in the area of personal data protection, for example, in helping it better understand the workings of new business models and improving its ability to protect consumers. The OPDP may also find it useful to familiarize its staff with the Office’s competencies in the area of competition and with possible competition law infringements involving data protection, such as Case C-252/21, *Meta Platforms Inc. v Bundeskartellamt*. We, on the other hand, could, through cooperation, receive more suggestions concerning competition law infringements, especially in the area of abuse of dominance. After the signing of the memorandum, we plan to set up a joint working group and to train each other’s staff in the competencies of both authorities. We intend to create and publish joint guidelines or fact sheets for the general public and professionals on our cooperation and the relationship between data protection and competition.